Industry

985 Software

985 Software

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

985-10-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
985-10-05-1	Amended	Maintenance Update 2018-12	09/10/2018
985-10-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
985-10-15-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

985-10-05-1 The Software Topic specifies standards of financial accounting and reporting for certain computer software. This Topic includes the following Subtopics:

a. Overall

b. Costs of Software to be Sold, Leased, or Marketed

c. Inventory
d. Intangibles—Goodwill and Other
e. Revenue Recognition—Provision for Losses
f. Cost of Sales and Services
g. Research and Development
h. Subparagraph superseded by Maintenance Update 2018-12.

985-10-05-2 [Not used]

985-10-05-3 [Not used]

985-10-05-4 [Not used]

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note for Financial Instruments: Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

985-10-15-1 The Subtopics within the Software Topic only provide incremental industry-specific guidance for entities defined in this Scope Section, or as further defined in the Scope Sections of the individual Software Subtopics. Entities within the scope of this Topic shall also comply with the applicable guidance not included in this Topic.

> Entities

985-10-15-2 The guidance in the Software Topic applies to all entities.

> Transactions

985-10-15-3 Except as follows, the guidance in the Software Topic applies to computer software to be sold, leased, or otherwise marketed as a separate product or as part of a product or process:

a. Subparagraph superseded by Accounting Standards Update No. 2014-09.

b. Subtopics 985-20, 985-330, 985-350, 985-705, and 985-730 do not apply to software created for internal use (see Section 350-40-15).

c. Subtopics 985-20, 985-330, 985-350, 985-705, and 985-730 do not apply to arrangements to deliver software or a software system, either alone or together with other products or services, requiring significant production, modification, or customization of software (see Topic 606 on revenue from contracts with customers and Subtopic 340-40 on costs related to a contract with a customer).

985 Software

20 Costs of Software to Be Sold, Leased, or Marketed

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

985-20-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Acquirer	Amended	Accounting Standards Update No. 2025-03	05/12/2025
Acquisition by a Not-for-Profit Entity	Added	Accounting Standards Update No. 2010-07	01/28/2010
Business	Amended	Accounting Standards Update No. 2017-01	01/05/2017
Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
Corporate Joint Venture	Added	Accounting Standards Update No. 2023-05	08/23/2023

Customer	Added	Accounting Standards Update No. 2014-09	05/28/2014
Hosting Arrangement	Amended	Accounting Standards Update No. 2018-15	08/29/2018
Hosting Arrangement	Added	Accounting Standards Update No. 2014-09	05/28/2014
Joint Venture	Added	Accounting Standards Update No. 2023-05	08/23/2023
Not-for-Profit Entity	Added	Accounting Standards Update No. 2010-07	01/28/2010
Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
Variable Interest Entity	Superseded	Accounting Standards Update No. 2025-03	05/12/2025
985-20-15-2	Amended	Accounting Standards Update No. 2010-07	01/28/2010
985-20-15-3	Amended	Accounting Standards Update No. 2023-05	08/23/2023
985-20-15-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
985-20-15-3	Amended	Accounting Standards Update No. 2010-07	01/28/2010
985-20-15-5 through 15-7	Added	Accounting Standards Update No. 2014-09	05/28/2014
985-20-25-9	Amended	Accounting Standards Update No. 2012-04	10/01/2012
985-20-25-12	Added	Accounting Standards Update No. 2014-09	05/28/2014
985-20-55-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
985-20-60-1	Amended	Accounting Standards Update No. 2017-04	01/26/2017
985-20-60-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

985-20-05-1 This Subtopic specifies standards of financial accounting and reporting for the costs of computer software to be sold, leased, or otherwise marketed as a separate product or as part of a product or process, whether internally developed and produced or purchased.

985-20-05-2 This Subtopic identifies the costs incurred in the process of creating a software product that are research and development costs and those that are production costs to be capitalized, and it specifies amortization, disclosure, and other requirements.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

985-20-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 985-10-15, with specific transaction qualifications and exceptions noted below.

> Transactions

985-20-15-2 The guidance in this Subtopic applies to the costs, including costs incurred after the date of a business combination or a combination accounted for by a not-for-profit entity, of computer software to be sold, leased, or otherwise marketed as a separate product or as part of a product or process, whether internally developed and produced or purchased.

985-20-15-3 The guidance in this Subtopic does not apply to the following transactions and activities:

a. Software developed or obtained for internal use (see Subtopic 350-40).

b. Research and development assets acquired in a business combination or an acquisition by a not-for-profit entity. If tangible and intangible assets acquired in those combinations are used in research and development activities, they are recognized and measured at fair value in accordance with Subtopic 805-20.

c. Arrangements to deliver software or a software system, either alone or together with other products or services, requiring significant production, modification, or customization of software (see the guidance on costs to fulfill a contract in Subtopic 340-40).

PENDING CONTENT

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** 805-60-65-1

The guidance in this Subtopic does not apply to the following transactions and activities:

a. Software developed or obtained for internal use (see Subtopic 350-40).

b. Research and development assets acquired in a business combination, acquired in an acquisition by a not-for-profit entity, or recognized by a joint venture upon formation. If tangible and intangible assets acquired in those combinations are used in research and development activities, they are recognized and measured at fair value in accordance with Subtopic 805-20.

c. Arrangements to deliver software or a software system, either alone or together with other products or services, requiring significant production, modification, or customization of software (see the guidance on costs to fulfill a contract in Subtopic 340-40).

> Other Considerations

985-20-15-4 As used in this Subtopic, the terms computer software product, software product, and product encompass a computer software program, a group of programs, and a product enhancement.

> Software Subject to a Hosting Arrangement

985-20-15-5 The software subject to a hosting arrangement is within the scope of this Subtopic only if both of the following criteria are met:

a. The customer has the contractual right to take possession of the software at any time during the hosting period without significant penalty.

b. It is feasible for the customer to either run the software on its own hardware or contract with another party unrelated to the vendor to host the software.

985-20-15-6 For purposes of criterion (a) in paragraph 985-20-15-5, the term *significant penalty* contains two distinct concepts:

a. The ability to take delivery of the software without incurring significant cost

b. The ability to use the software separately without a significant diminution in utility or value.

985-20-15-7 If the software subject to a hosting arrangement never meets the criteria in paragraph 985-20-15-5, then the software is utilized in providing services and is not within the scope of this Subtopic and, therefore, the development costs of the software should be accounted for in accordance with Subtopic 350-40 on internal-use software (see also paragraph 985-20-55-2).

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Acquiree

The business or businesses that the acquirer obtains control of in a business combination. This term also includes a nonprofit activity or business that a not-for-profit acquirer obtains control of in an acquisition by a not-for-profit entity.

Acquirer

The entity that obtains control of the acquiree. However, in a business combination in which a variable interest entity (VIE) is acquired, the primary beneficiary of that entity always is the acquirer.

PENDING CONTENT

Transition Date: P December 16, 2026; N December 16, 2026 | **Transition Guidance:** 805-10-65-5

The entity that obtains control of the acquiree. See paragraphs 805-10-25-4 through 25-5 for guidance on determining the acquirer.

Acquisition by a Not-for-Profit Entity

A transaction or other event in which a not-for-profit acquirer obtains control of one or more nonprofit activities or businesses and initially recognizes their assets and liabilities in the acquirer's financial statements. When applicable guidance in Topic 805 is applied by a not-for-profit entity, the term business combination has the same meaning as this term has for a for-profit entity. Likewise, a reference to business combinations in guidance that links to Topic 805 has the same meaning as a reference to acquisitions by not-for-profit entities.

Business

Paragraphs 805-10-55-3A through 55-6 and 805-10-55-8 through 55-9 define what is considered a business.

Business Combination

A transaction or other event in which an acquirer obtains control of one or more businesses. Transactions sometimes referred to as true mergers or mergers of equals also are business combinations. See also Acquisition by a Not-for-Profit Entity.

Coding

Generating detailed instructions in a computer language to carry out the requirements described in the detail program design. The coding of a computer software product may begin before, concurrent with, or after the completion of the detail program design.

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Corporate Joint Venture

A corporation owned and operated by a small group of entities (the joint venturers) as a separate and specific business or project for the mutual benefit of the members of the group. A government may also be a member of the group. The purpose of a corporate joint venture frequently is to share risks and rewards in developing a new market, product or technology; to combine complementary technological knowledge; or to pool resources in developing production or other facilities. A corporate joint venture also usually provides an arrangement under which each joint venturer may participate, directly or indirectly, in the overall management of the joint venture. Joint venturers thus have an interest or relationship other than as passive investors. An entity that is a subsidiary of one of the joint venturers is not a corporate joint venture. The ownership of a corporate joint venture seldom changes, and its stock is usually not traded publicly. A noncontrolling interest held by public ownership, however, does not preclude a corporation from being a corporate joint venture.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Customer Support

Services performed by an entity to assist customers in their use of software products. Those services include any installation assistance, training classes, telephone question and answer services, newsletters, on-site visits, and software or data modifications.

Detail Program Design

The detail design of a computer software product that takes product function, feature, and technical requirements to their most detailed, logical form and is ready for coding.

Hosting Arrangement

In connection with accessing and using software products, an arrangement in which the customer of the software does not currently have possession of the software; rather, the customer accesses and uses the software on an as-needed basis.

Joint Venture

An entity owned and operated by a small group of businesses (the joint venturers) as a separate and specific business or project for the mutual benefit of the members of the group. A government may also be a member of the group. The purpose of a joint venture frequently is to share risks and rewards in developing a new market, product, or technology; to combine complementary technological knowledge; or to pool resources in developing production or other facilities. A joint venture also usually provides an arrangement under which each joint venturer may participate, directly or indirectly, in the overall management of the joint venture. Joint venturers thus have an interest or relationship other than as passive investors. An entity that is a subsidiary of one of the joint venturers is not a joint venture. The ownership of a joint venture seldom changes, and its equity interests usually are not traded publicly. A minority public ownership, however, does not preclude an entity from being a joint venture. As distinguished from a corporate joint venture, a joint venture is not limited to corporate entities.

Legal Entity

Any legal structure used to conduct activities or to hold assets. Some examples of such structures are corporations, partnerships, limited liability companies, grantor trusts, and other trusts.

Maintenance

Activities undertaken after the product is available for general release to customers to correct errors or keep the product updated with current information. Those activities include routine changes and additions.

Not-for-Profit Entity

An entity that possesses the following characteristics, in varying degrees, that distinguish it from a business entity:

a. Contributions of significant amounts of resources from resource providers who do not expect commensurate or proportionate pecuniary return

b. Operating purposes other than to provide goods or services at a profit

c. Absence of ownership interests like those of business entities.

Entities that clearly fall outside this definition include the following:

a. All investor-owned entities

b. Entities that provide dividends, lower costs, or other economic benefits directly and proportionately to their owners, members, or participants, such as mutual insurance entities, credit unions, farm and rural electric cooperatives, and employee benefit plans.

Product Design

A logical representation of all product functions in sufficient detail to serve as product specifications.

Product Enhancement

Improvements to an existing product that are intended to extend the life or improve significantly the marketability of the original product. Enhancements normally require a product design and may require a redesign of all or part of the existing product.

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

Testing

Performing the steps necessary to determine whether the coded computer software product meets function, feature, and technical performance requirements set forth in the product design.

Variable Interest Entity

A legal entity subject to consolidation according to the provisions of the Variable Interest Entities Subsections of Subtopic 810-10.

Working Model

An operative version of the computer software product that is completed in the same software language as the product to be ultimately marketed, performs all the major functions planned for the product, and is ready for initial customer testing (usually identified as beta testing).

25 Recognition

General Note:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Research and Development Costs of Computer Software

985-20-25-1 All costs incurred to establish the technological feasibility of a computer software product to be sold, leased, or otherwise marketed are research and development costs. Those costs shall be charged to expense when incurred as required by Subtopic 730-10.

985-20-25-2 For purposes of this Subtopic, the technological feasibility of a computer software product is established when the entity has completed all planning, designing, coding, and testing activities that are necessary to establish that the product can be produced to meet its design specifications including functions, features, and technical performance requirements. At a minimum, the entity shall have performed the activities in either (a) or (b) as evidence that technological feasibility has been established:

a. If the process of creating the computer software product includes a detail program design, all of the following:

1. The product design and the detail program design have been completed, and the entity has established that the necessary skills, hardware, and software technology are available to the entity to produce the product.

2. The completeness of the detail program design and its consistency with the product design have been confirmed by documenting and tracing the detail program design to product specifications.

3. The detail program design has been reviewed for high-risk development issues (for example, novel, unique, unproven functions and features or technological innovations), and any uncertainties related to identified high-risk development issues have been resolved through coding and testing.

b. If the process of creating the computer software product does not include a detail program design with the features identified in (a), both of the following:

1. A product design and a working model of the software product have been completed.

2. The completeness of the working model and its consistency with the product design have been confirmed by testing.

> Production Costs of Computer Software

985-20-25-3 Costs of producing product masters incurred subsequent to establishing technological feasibility shall be capitalized. Those costs include coding and testing performed subsequent to establishing technological feasibility.

985-20-25-4 Software production costs for computer software that is to be used as an integral part of a product or process shall not be capitalized until both of the following conditions have been met:

a. Technological feasibility has been established for the software.

b. All research and development activities for the other components of the product or process have been completed.

985-20-25-5 An entity may capitalize an allocated amount of indirect costs, such as overhead related to programmers and the facilities they occupy. However, an allocation of general and administrative expenses is not appropriate because those costs relate to the period in which they are incurred.

985-20-25-6 Capitalization of computer software costs shall cease when the product is available for general release to customers. Costs of maintenance and customer support shall be charged to expense when related revenue is recognized or when those costs are incurred, whichever occurs first.

> Purchased Computer Software

985-20-25-7 Some entities purchase software as an alternative to developing it internally. Purchased computer software may be modified or integrated with another product or process.

985-20-25-8 The cost of purchased computer software to be sold, leased, or otherwise marketed that has no alternative future use shall be accounted for the same as the costs incurred to develop such software internally, as specified in paragraphs 985-20-25-1 through 25-6.

985-20-25-9 An entity shall capitalize the total cost of purchased software that has no alternative future use if the criteria specified in paragraph 985-20-25-2 are met at the time of purchase. Otherwise, the cost will be charged to expense as research and development. For example, if the technological feasibility of a software product as a whole (that is, the product that will be ultimately marketed) has been established at the time software is purchased, the cost of the purchased software shall be capitalized and further accounted for in accordance with the other provisions of this Subtopic. The cost of software purchased to be integrated with another product or process shall be capitalized only if technological feasibility is established for the software component and if all research and development activities for the other components of the product or process are completed at the time of purchase.

985-20-25-10 If purchased software has an alternative future use, the cost shall be capitalized when the software is acquired and accounted for in accordance with its use. The alternative future use test also applies to purchased software that will be integrated with a product or process in which the research and development activities for the other components are not complete.

> Inventory Costs

985-20-25-11 For guidance on costs incurred for duplicating the computer software, documentation, and training materials from product masters and for physically packaging the product for distribution, see Subtopic 985-330.

> Funded Software-Development Arrangements

985-20-25-12 A funded software-development arrangement within the scope of Subtopic 730-20 shall be accounted for in conformity with that Subtopic. If the technological feasibility of the computer software product pursuant to the provisions of this Subtopic has been established before the arrangement has been entered into, Subtopic 730-20 does not apply because the arrangement is not a research and development arrangement. If capitalization of the software-development costs commences pursuant to this Subtopic and the funding party is a collaborator or a partner, any income from the funding party under a funded software-development arrangement shall be credited first to the amount of the development costs capitalized. If the income from the funding party exceeds the amount of development costs capitalized, the excess shall be deferred and credited against future amounts that subsequently qualify for capitalization. Any deferred amount remaining after the project is completed (that is, when the software is available for general release to customers and capitalization has ceased) shall be credited to income. If the counterparty is a customer, the entity shall apply the guidance of Topic 606 on revenue from contracts with customers.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Amortization of Capitalized Software Costs

985-20-35-1 Capitalized software costs shall be amortized on a product-by-product basis. The annual amortization shall be the greater of the amounts computed using the following:

a. The ratio that current gross revenues for a product bear to the total of current and anticipated future gross revenues for that product

b. The straight-line method over the remaining estimated economic life of the product including the period being reported on.

985-20-35-2 Because a net realizable value test, which considers future revenues and costs, must be applied to capitalized costs (see paragraph 985-20-35-4), amortization shall be based on estimated future revenues. In recognition of the uncertainties involved in estimating revenue, amortization shall not be less than straight-line amortization over the product's remaining estimated economic life.

985-20-35-3 Amortization shall start when the product is available for general release to customers.

> Net Realizable Value of Capitalized Software Costs

985-20-35-4 At each balance sheet date, the unamortized capitalized costs of a computer software product shall be compared to the net realizable value of that product. The amount by which the unamortized capitalized costs of a computer software product exceed the net realizable value of that asset shall be written off. The net realizable value is the estimated future gross revenues from that product reduced by the estimated future costs of completing and disposing of that product, including the costs of performing maintenance and customer support required to satisfy the entity's responsibility set forth at the time of sale. The reduced amount of capitalized computer software costs that have been written down to net realizable value at the close of an annual fiscal period shall be considered to be the cost for subsequent accounting purposes, and the amount of the write-down shall not be subsequently restored.

45 Other Presentation Matters

General Note: The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

General

985-20-45-1 Because amortization expense of capitalized software costs relates to a software product that is marketed to others, the expense shall be charged to cost of sales or a similar expense category.

985-20-45-2 In an entity's balance sheet, capitalized software costs having a life of more than one year or one operating cycle shall be presented as an other asset because the costs are an amortizable intangible asset.

985-20-45-3 The accounting requirements of Topic 350 do not apply to capitalized software costs. However, the presentation and disclosure requirements of that Topic do apply to capitalized software costs.

50 Disclosure

General Note:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

Related Proposed ASUs

985-20-50-1 Both of the following shall be disclosed in the financial statements:

a. Unamortized computer software costs included in each balance sheet presented.

b. The total amount charged to expense in each income statement presented for both of the following:

1. Amortization of capitalized computer software costs
2. Amounts written down to net realizable value.

The amortization and write-down amounts may be combined with only the total of the two expenses being disclosed.

985-20-50-2 Paragraph 350-30-15-3 requires that an entity apply the disclosure requirements of paragraphs 350-30-50-1 through 50-3 to capitalized software costs. Paragraph 730-10-50-1 requires that disclosure be made in the financial statements of the total research and development costs charged to expense in each period for which an income statement is presented and states that such disclosure shall include research and development costs incurred for a computer software product to be sold, leased, or otherwise marketed.

55 Implementation Guidance and Illustrations

General Note:The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

· > Interpretation of Scope

· · > Definition of a Software Product

985-20-55-1 A software product is most easily defined by describing its necessary qualities. As a product, it is complete and has exchange value. As software, it is a set of programs that interact with each other. A program is further defined as a series of instructions or statements that cause a computer to do work.

· · > Relationship to Revenue Recognition Guidance

985-20-55-2 If the entity never sells, leases, or licenses the software (that is, the software meets the criteria in paragraph 985-20-15-5), then the software is used in providing services and the development costs of the software should be accounted for in accordance with Subtopic 350-40. However, if during such software's development or modification (accounted for in accordance with Subtopic 350-40), the entity develops a substantive plan to sell, lease, or otherwise market the software externally, the development costs of the software should be accounted for in accordance with this Subtopic (985-20). Paragraph 350-40-35-7 provides guidance if, after the development of internal-use software is completed, an entity decides to market the software.

· · > Software Marketed as Part of a Product or Process

985-20-55-3 The costs of software that is marketed as part of a product or process are included in the scope of this Subtopic. Software is sometimes embedded in a product and sold as part of the product as a whole. Examples are calculators and robots. This type of software is sometimes known as firmware. Also, some services provided to customers would not be possible without software. Time-sharing and service bureaus are two straightforward examples.

· > Software Research and Development Costs

· · > Establishing Technological Feasibility

985-20-55-4 Paragraph 985-20-25-2 specifies the minimum activities an entity should have performed as evidence that technological feasibility has been established, by either inclusion of a detail program design or completion of a working model. However, an entity may need to defer capitalization until after meeting the working model criteria in paragraph 985-20-25-2(b), even though technological feasibility had previously been established by meeting the detail program design criteria in paragraph 985-20-25-2(a).

985-20-55-5 Paragraph 985-20-25-2(a) specifies three criteria relating to the detail program design to be satisfied before capitalization begins. Entities whose software product process fits the description in that paragraph should look to that paragraph for the applicable technological feasibility criteria. However, if the three criteria in that paragraph are not met until a working model is completed, this Subtopic requires capitalization to begin upon completion of the working model and satisfaction of the other criteria in paragraph 985-20-25-2(b).

985-20-55-6 Management shall not require more stringent criteria than specified in paragraph 985-20-25-2 to begin capitalizing software production costs. One of the purposes of this Subtopic is to identify an objective point in the software product process at which research and development activities end and production activities begin. If management were to modify the Subtopic's criteria or impose additional criteria of its own, this objective would be thwarted.

· · > Technological Feasibility of the Product as a Whole

985-20-55-7 When a product comprises various modules that are not separately saleable, technological feasibility is established for the product as a whole, not on a module-by-module basis. The detail program design or the working model of the entire product (all modules linked together) must be completed before capitalization.

· · > Working Model

985-20-55-8 Some entities in the software industry use the term *working model* to mean a prototype in which critical parts of the product have been coded or written in pseudocode. This definition of working model does not meet the criteria in paragraph 985-20-25-2(b). This Subtopic defines a working model as having several key characteristics not found in that description of a prototype.

985-20-55-9 To meet this Subtopic's criteria, the working model must meet all of the following conditions:

a. It must be operative.
b. It must be in the same language as the product that will be marketed.
c. It must be complete with all the major functions that were planned for the product.
d. It must be ready for initial customer testing.

· · > Issues Arising After Establishing Technological Feasibility

985-20-55-10 A high-risk development issue may arise after an entity has established technological feasibility by meeting the criteria in paragraph 985-20-25-2. The previously capitalized costs and the costs to resolve the high-risk development issue should be accounted for as a change in accounting estimate in accordance with paragraph 250-10-45-17. That paragraph states that changes in accounting estimates result from new information. The discovery of a high-risk development issue after the entity's personnel thought technological feasibility was established meets this definition. Any previously capitalized costs for that product, as well as any additional costs incurred to establish technological feasibility, should be charged to expense as research and development until the criteria in paragraph 985-20-25-2 are met.

· > Maintenance and Customer Support

985-20-55-11 When selling systems software, an entity may promise to keep the software current with revisions in the hardware, and incur costs in connection with this service.

985-20-55-12 This activity appears to meet the definition of maintenance because it keeps the product updated with current information. The cost of maintenance is charged to expense when related revenue is recognized or when those costs are incurred, whichever occurs first. The distinctions among maintenance, customer support, and product enhancements are sometimes very fine lines; in each case, the particular circumstances and intentions of the entity should be evaluated in light of the definitions in this Subtopic for each activity.

· > Purchased Computer Software

· · > Purchased Software to Be Integrated into Another Product

985-20-55-13 An entity may purchase software that will be integrated into another software or hardware product. Assuming that purchased computer software has no alternative future use, its costs can be capitalized only if the technological feasibility of the product to be ultimately marketed has been established at the time of purchase. Such factors as the timing of receipt or the status of hardware and internal software development may be crucial in determining whether technological feasibility is established at the time of purchase.

· · > Software Purchased Before Technological Feasibility Established

985-20-55-14 An entity may purchase software before technological feasibility has been established. For example, an entity purchases software for $100,000 that can be resold for $75,000. The amount of $25,000 would be charged to research and development, and $75,000 would be capitalized. If the software product reached technological feasibility, the $75,000 would be included in the cost of the software product. If the technological feasibility of the software was never established, the $75,000 would be classified as inventory.

· > Amortization

· · > Changes in Estimates of Future Revenues or Remaining Economic Life

985-20-55-15 Estimates of future revenues or the remaining economic life for a product may change over the period in which the software product is being amortized. Amortization for any asset is based on estimates of future events, and software is no exception. The most recent information should be used to determine if changes to estimates should be made.

· · > Straight-Line Amortization

985-20-55-16 Paragraph 985-20-35-1 indicates that straight-line amortization of a software product is computed over the remaining estimated economic life of the product. As such, the unamortized cost of the product should be divided by its remaining life, including the current year.

· > Modifications to Features Originally Planned for the Product

985-20-55-17 If the completed software product does not include all features that had originally been planned, the accounting depends on an evaluation of the modified product. If the product is saleable without the features that were dropped, no specific accounting is required. The net realizable value test controls the amount of capitalized costs. Application of the net realizable value test may result in a writeoff of some or all of the product's capitalized costs. If the product is not saleable without the dropped features, the technological feasibility of the product is not established.

· > Product Enhancements

· · > Accounting for Costs of Product Enhancements

985-20-55-18 Costs incurred for product enhancements should be charged to expense as research and development until the technological feasibility of the enhancement has been established. If the original product will no longer be marketed, any unamortized cost of the original product should be included with the cost of the enhancement for purposes of applying the net realizable value test and amortization provisions. If the original product will remain on the market along with the enhancement, the unamortized cost of the original product should be allocated between the original product and the enhancement.

· · > Useful Life of a Product Enhancement

985-20-55-19 The estimated useful life of a product enhancement is the estimated life of the enhancement. It is not the remaining life of the original product nor is it the remaining life of the original product for any costs of the original product included in the enhancement and the estimated life of the enhancement for all other costs. All costs of a product enhancement, including any costs carried over or allocated from the original product, should be amortized over the enhancement's estimated useful life.

· · > Technological Feasibility

985-20-55-20 The technological feasibility criteria in paragraph 985-20-25-2 must be met for a product enhancement if the criteria had been met for the original product.

985-20-55-21 Product enhancements are specifically included in the scope of this Subtopic and, as such, are subject to the same requirements as any other software product. However, technological feasibility may be more easily established for a product enhancement than for a new product, and capitalization of costs may, therefore, begin relatively earlier in the software process. For example, an enhancement that adds one function to an already successful product may require only minor modifications to the original product's detail program design to establish technological feasibility.

985-20-55-22 Similarly, in some cases, software that is ported (made available for a different piece of hardware) may not require a new detail program design, and capitalization of the enhancement costs may begin once any high-risk development issues have been resolved.

> Illustrations

· > Example 1: Disclosure of Risks and Uncertainties Related to Capitalized Software Costs

985-20-55-23 This Example illustrates the application of the disclosure requirements of Topic 275 to risks and uncertainties related to capitalized software costs. This Example has the following assumptions.

985-20-55-24 Software, Inc. develops and markets computer programs. In 20X3, it acquired a software entity. A significant portion of the purchase price was allocated to (capitalized) Product A (present net book value of $5 million), the most significant and profitable software program currently being marketed by the acquired entity. Only nominal amounts of other software costs have been capitalized. Software, Inc. expects Product A and its derivatives to be among its most significant products over the next several years. However, a competitor has recently released a new product designed to compete directly with Product A. Software, Inc. amortizes the capitalized software costs of Product A by the greater of the following:

a. The ratio that current gross revenues for a product bear to the total of current and anticipated future gross revenues for that product

b. The straight-line method over the remaining estimated economic life of the product including the period being reported on, pursuant to this Subtopic.

985-20-55-25 The amount of the amortization computed for the year 20X4 was equal to 20% of the beginning-of-the-year capitalized amount and was a significant component of cost of sales.

985-20-55-26 The segment of the computer software industry in which Software, Inc. operates is characterized by sales of products occurring primarily on the basis of customers' perceptions of the relative technical merits of competing products. Those perceptions are greatly influenced by product reviews in technical journals and advertising, and they can change rapidly. Innovative products have been introduced in recent years that have reduced quickly and significantly the volume of sales of preexisting products in the same market niche. While management of Software, Inc. believes its estimates of future gross revenues and the estimated economic life of Product A used in the determination of the amortization of capitalized software costs are reasonable, new products introduced by its competitors, such as the one discussed in paragraph 985-20-55-24, could have a significant near-term negative effect on such estimates. As a result, the amount of periodic amortization could increase in the near term in amounts that could be material to the entity's financial statements.

985-20-55-27 Software, Inc. would make the following disclosure.

> Software, Inc.'s policy is to amortize capitalized software costs by the greater of the following:
>
> a. The ratio that current gross revenues for a product bear to the total of current and anticipated future gross revenues for that product

b. The straight-line method over the remaining estimated economic life of the product including the period being reported on.

It is reasonably possible that those estimates of anticipated future gross revenues, the remaining estimated economic life of the product, or both will be reduced significantly in the near term [due to competitive pressures]. As a result, the carrying amount of the capitalized software costs for Product A ($5 million) may be reduced materially in the near term.

985-20-55-28 In this Example, the entity acknowledges that the carrying amount of its capitalized software costs is subject to significant uncertainty. The uncertainty relates to estimates of future years' revenues and useful lives that are made at the date of the financial statements, and the entity is aware that circumstances exist that could cause such estimates to change in the near term. The entity's disclosure makes clear that it is at least reasonably possible that the carrying amount could be reduced in the near term.

985-20-55-29 If the amortization policy in the preceding illustrative disclosure is already disclosed elsewhere in the notes, it need not be repeated. The reference in brackets to competitive pressures in the preceding illustrative disclosure is an example of voluntary disclosure of factors that cause the estimate to be sensitive to change that is encouraged by paragraph 275-10-50-9.

60 Relationships

General Note: The Relationships Section contains links to guidance that may be helpful to, but not required by, a user of the Subtopic. This Section may not be all-inclusive. The relationship items are organized according to the Topic structure in the Codification.

General

> Intangibles—Goodwill and Other

985-20-60-1 For guidance to help determine whether software is developed for internal use or is subject to a plan to be marketed externally, see paragraphs 350-40-15-2 through 15-2C and 350-40-15-5.

> Research and Development

985-20-60-2 For the application of Subtopic 730-10 to costs incurred to purchase or lease computer software developed by others, see paragraph 730-10-25-3.

> Software

985-20-60-3 For software-development arrangements that are fully or partially funded by a party other than the vendor that is developing the software and for which technological feasibility of the computer software product has not been established before entering into the arrangement, see Subtopic 730-20 on research and development arrangements.

985 Software

330 Inventory

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

985-330-05-1 This Subtopic provides guidance on inventory costs of computer software.

15 Scope and Scope Exceptions

ⓘ **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

985-330-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 985-10-15.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Product Master

A completed version, ready for copying, of the computer software product, the documentation, and the training materials that are to be sold, leased, or otherwise marketed.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

985-330-25-1 The costs incurred for duplicating the computer software, documentation, and training materials from the product masters and for physically packaging the product for distribution shall be capitalized as inventory on a unit-specific basis.

40 Derecognition

General Note: The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

General

985-330-40-1 The costs incurred for duplicating the computer software, documentation, and training materials from the product masters and for physically packaging the product for distribution shall be charged to cost of sales when revenue from the sale of those units is recognized.

985 Software

350 Intangibles—Goodwill and Other

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

985-350-00-1 No updates have been made to this Subtopic.

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

985-350-05-1 This Subtopic only provides a link to guidance on costs of computer software that are capitalized as intangible assets.

20 Glossary

ⓘ **General Note**:The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Product Master

A completed version, ready for copying, of the computer software product, the documentation, and the training materials that are to be sold, leased, or otherwise marketed.

25 Recognition

ⓘ **General Note**:The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

985-350-25-1 Paragraph 985-20-25-3 addresses capitalizing costs of producing product masters incurred after establishing technological feasibility. Paragraph 985-20-25-10 addresses capitalizing the costs of purchased software that has an alternative future use.

985 Software

605 Revenue Recognition

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

ⓘ **General Note on Software-Revenue Recognition:**Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Software—Revenue Recognition—Provision for Losses.

General

985-605-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Authorization Code	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Contract	Added	Accounting Standards Update No. 2014-09	05/28/2014
Core Software	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Customer	Amended	Accounting Standards Update No. 2014-09	05/28/2014
Delivery	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Enhancement	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Fixed Fee	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Hosting Arrangement	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Hosting Arrangement	Amended	Accounting Standards Update No. 2018-15	08/29/2018
Licensing	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Maintenance	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Milestone (1st def.)	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

Off-the-Shelf Software	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Performance Obligation	Added	Accounting Standards Update No. 2014-09	05/28/2014
Platform	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Platform-Transfer Right	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Postcontract Customer Support	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Probable (2nd def.)	Added	Accounting Standards Update No. 2014-09	05/28/2014
Product Master	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Reseller (1st def.)	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Revenue	Added	Accounting Standards Update No. 2014-09	05/28/2014
Site License	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Transaction Price	Added	Accounting Standards Update No. 2014-09	05/28/2014
Upgrade (2nd def.)	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
Upgrade Right	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
User	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
When-and-If-Available	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-605-05-1	Amended	Accounting Standards Update No. 2014-09	05/28/2014
985-605-05-2	Added	Accounting Standards Update No. 2014-09	05/28/2014
985-605-05-3	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-605-05-4	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
958-605-15-3	Amended	Accounting Standards Update No. 2014-09	05/28/2014
985-605-15-3	Amended	Accounting Standards Update No. 2009-14	10/07/2009
985-605-15-4	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

985-605-15-4	Amended	Accounting Standards Update No. 2009-14	10/07/2009
985-605-15-4A	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-605-15-4A	Added	Accounting Standards Update No. 2009-14	10/07/2009
985-605-25-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-605-25-2	Amended	Accounting Standards Update No. 2014-09	05/28/2014
985-605-25-3 through 25-6	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-605-25-7	Amended	Accounting Standards Update No. 2014-09	05/28/2014
985-605-25-8 through 25-107	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-605-25-10	Amended	Accounting Standards Update No. 2009-14	10/07/2009
985-605-50-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-605-50-1	Added	Accounting Standards Update No. 2009-14	10/07/2009
985-605-55-2 through 55-119	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-605-55-121 through 55-236	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-605-55-211 through 55-236	Added	Accounting Standards Update No. 2009-14	10/07/2009
985-605-65-1	Added	Accounting Standards Update No. 2009-14	10/07/2009

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General Note on Software-Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Software—Revenue Recognition—Provision for Losses.

General

985-605-05-1 This Subtopic provides guidance on the recognition of a provision for losses when a contract to deliver software or a software system, either alone or together with other products and services, requires significant production, modification, or customization of software.

985-605-05-2 This Subtopic does not provide any revenue recognition guidance.

985-605-05-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-05-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General Note on Software-Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Software—Revenue Recognition—Provision for Losses.

ⓘ **General Note for Financial Instruments:**Some of the items subject to the guidance in this Subtopic are financial instruments. For guidance on matters related broadly to all financial instruments, (including the fair value option, accounting for registration payment arrangements, and broad financial instrument disclosure requirements), see Topic 825. See Section 825-10-15 for guidance on the scope of the Financial Instruments Topic.

General

> Overall Guidance

985-605-15-1 This Subtopic follows the same Scope and Scope Exceptions as outlined in the Overall Subtopic, see Section 985-10-15, with specific qualifications and exceptions noted below.

> Entities

985-605-15-2 The guidance in this Subtopic applies to all entities.

> Transactions

985-605-15-3 The guidance in this Subtopic applies to the following transactions and activities:

a. Subparagraph superseded by Accounting Standards Update No. 2014-09.

b. Subparagraph superseded by Accounting Standards Update No. 2009-14.

c. Subparagraph superseded by Accounting Standards Update No. 2014-09.

d. Subparagraph superseded by Accounting Standards Update No. 2014-09.

e. Arrangements to deliver software or a software system, either alone or together with other products or services that require significant production, modification, or customization of software (see Topic 606 on revenue from contracts with customers and Subtopic 605-35 on provision for losses on contracts).

985-605-15-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-15-4A Paragraph superseded by Accounting Standards Update No. 2014-09.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

General Note on Software-Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Software—Revenue Recognition—Provision for Losses.

Contract

An agreement between two or more parties that creates enforceable rights and obligations.

Customer

A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

Hosting Arrangement

In connection with accessing and using software products, an arrangement in which the customer of the software does not currently have possession of the software; rather, the customer accesses and uses the software on an as-needed basis.

Performance Obligation

A promise in a contract with a customer to transfer to the customer either:

a. A good or service (or a bundle of goods or services) that is distinct
b. A series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

Probable

The future event or events are likely to occur.

Revenue

Inflows or other enhancements of assets of an entity or settlements of its liabilities (or a combination of both) from delivering or producing goods, rendering services, or other activities that constitute the entity's ongoing major or central operations.

Transaction Price

The amount of consideration to which an entity expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General Note on Software-Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Software—Revenue Recognition—Provision for Losses.

General Note for Fair Value Option: Some of the items subject to the guidance in this Subtopic may qualify for application of the Fair Value Option Subsections of Subtopic 825-10. Those Subsections (see paragraph 825-10-05-5) address circumstances in which entities may choose, at specified election dates, to measure eligible items at fair value (the fair value option). See Section 825-10-15 for guidance on the scope of the Fair Value Option Subsections of the Financial Instruments Topic.

General

985-605-25-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Software Requiring Significant Production, Modification, or Customization

985-605-25-2 If an arrangement to deliver software or a software system, either alone or together with other products or services, requires significant production, modification, or customization of software, the entire arrangement shall be accounted for in conformity with Topic 606 on revenue from contracts with customers and Subtopic 605-35 on provision for losses on contracts.

985-605-25-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-6 Paragraph superseded by Accounting Standards Update No. 2014-09.

> Determining the Need for a Provision for Loss on a Contract

985-605-25-7 If it becomes probable that the amount of the transaction price allocated to an unsatisfied or partially unsatisfied performance obligation in accordance with Topic 606 on revenue from contracts with customers will result in a loss on that performance obligation, the loss shall be recognized pursuant to Topic 450.

985-605-25-8 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-9 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-10 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-11 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-12 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-13 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-14 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-15 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-16 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-17 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-18 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-19 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-20 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-21 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-22 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-23 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-24 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-25 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-26 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-27 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-28 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-29 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-30 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-31 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-32 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-33 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-34 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-35 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-36 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-37 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-38 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-39 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-40 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-41 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-42 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-43 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-44 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-45 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-46 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-47 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-48 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-49 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-50 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-51 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-52 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-53 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-54 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-55 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-56 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-57 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-58 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-59 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-60 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-61 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-62 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-63 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-63A Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-64 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-65 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-66 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-67 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-68 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-69 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-70 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-71 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-72 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-73 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-74 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-75 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-76 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-77 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-78 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-79 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-80 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-81 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-82 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-83 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-84 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-85 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-86 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-87 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-88 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-89 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-90 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-91 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-92 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-93 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-94 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-95 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-96 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-97 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-98 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-99 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-100 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-101 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-102 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-103 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-104 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-105 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-106 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-25-107 Paragraph superseded by Accounting Standards Update No. 2014-09.

50 Disclosure

General Note: The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General Note on Software-Revenue Recognition: Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Software—Revenue Recognition—Provision for Losses.

General

985-605-50-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

55 Implementation Guidance and Illustrations

General Note:The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General Note on Software-Revenue Recognition:Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Software—Revenue Recognition—Provision for Losses.

General

985-605-55-1 Paragraph not used.

985-605-55-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-6 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-7 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-8 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-9 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-10 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-11 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-12 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-13 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-14 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-15 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-16 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-17 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-18 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-19 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-20 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-21 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-22 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-23 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-24 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-25 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-26 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-27 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-28 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-29 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-30 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-31 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-32 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-33 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-34 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-35 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-36 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-37 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-38 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-39 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-40 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-41 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-42 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-43 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-44 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-45 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-46 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-47 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-48 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-49 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-50 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-51 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-52 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-53 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-54 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-55 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-56 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-57 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-58 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-59 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-60 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-61 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-62 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-63 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-64 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-65 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-66 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-67 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-68 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-69 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-70 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-71 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-72 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-73 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-74 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-75 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-76 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-77 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-78 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-79 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-80 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-81 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-82 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-83 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-84 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-85 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-86 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-87 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-88 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-89 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-90 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-91 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-92 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-93 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-94 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-95 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-96 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-97 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-98 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-99 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-100 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-101 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-102 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-103 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-104 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-105 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-106 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-107 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-108 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-109 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-110 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-111 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-112 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-113 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-114 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-115 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-116 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-117 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-118 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-119 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-120 Paragraph not used.

985-605-55-121 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-122 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-123 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-124 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-125 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-126 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-127 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-128 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-129 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-130 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-131 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-132 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-133 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-134 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-135 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-136 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-137 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-138 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-139 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-140 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-141 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-142 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-143 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-144 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-145 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-146 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-147 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-148 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-149 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-150 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-151 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-152 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-153 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-154 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-155 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-156 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-157 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-158 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-159 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-160 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-161 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-162 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-163 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-164 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-165 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-166 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-167 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-168 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-169 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-170 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-171 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-172 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-173 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-174 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-175 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-176 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-177 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-178 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-179 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-180 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-181 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-182 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-183 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-184 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-185 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-186 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-187 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-188 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-189 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-190 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-191 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-192 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-193 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-194 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-195 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-196 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-197 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-198 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-199 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-200 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-201 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-202 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-203 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-204 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-205 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-206 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-207 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-208 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-209 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-210 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-211 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-212 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-213 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-214 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-215 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-216 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-217 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-218 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-219 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-220 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-221 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-222 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-223 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-224 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-225 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-226 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-227 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-228 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-229 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-230 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-231 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-232 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-233 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-234 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-235 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-605-55-236 Paragraph superseded by Accounting Standards Update No. 2014-09.

65 Transition and Open Effective Date Information

ⓘ **General Note:**The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

ⓘ **General Note on Software-Revenue Recognition:**Upon the effective date of Accounting Standards Update 2014-09, the title of this Subtopic will change to Software—Revenue Recognition—Provision for Losses.

General

985-605-65-1 Paragraph superseded on 12/13/2011 after the end of the transition period stated in Accounting Standards Update No. 2009-14, *Software (Topic 985): Certain Revenue Arrangements That Include Software Elements*.

985 Software

705 Cost of Sales and Services

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

985-705-00-1 No updates have been made to this subtopic.

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

985-705-05-1 This Subtopic only provides links to guidance on costs of sales and services related to computer software.

25 Recognition

ⓘ **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Amortization of Capitalized Software Development Costs

985-705-25-1 Paragraph 985-20-45-1 indicates that the amortization of capitalized costs to develop a software product that is marketed to others would be charged to cost of sales or a similar expense category.

> Cost of Duplicating Software, Documentation, Training Materials, and Packaging

985-705-25-2 For guidance on costs incurred for duplicating the computer software, documentation, and training materials from product masters and for physically packaging the product for distribution, see Subtopic 985-330.

> Costs to Keep Software Current with Hardware Revisions

985-705-25-3 For guidance on costs to keep certain software current with hardware revisions, see paragraphs 985-20-55-11 through 55-12.

S25 Recognition

ⓘ **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Film and Software Costs Associated with Developing Entertainment and Educational Software Products

985-705-S25-1 See paragraph 985-705-S99-1, SEC Observer Comment: Accounting for the Film and Software Costs Associated with Developing Entertainment and Educational Software Products, for SEC Staff views on the accounting for costs related to the development of entertainment and educational software products.

S99 SEC Materials

ⓘ **General Note:**As more fully described in *About the Codification*, the Codification includes selected SEC and SEC Staff content for reference by public companies. The Codification does not replace or affect how the SEC or SEC Staff issues or updates SEC content. SEC Staff content does not constitute Commission-approved rules or interpretations of the SEC.

General

> SEC Staff Guidance

· > Comments Made by SEC Observer at Emerging Issues Task Force (EITF) Meetings

· · > SEC Observer Comment: Accounting for the Film and Software Costs Associated with Developing Entertainment and Educational Software Products

985-705-S99-1 The following is the text of SEC Observer Comment: Accounting for the Film and Software Costs Associated with Developing Entertainment and Educational Software Products.

The SEC staff has become aware of diversity in the application of generally accepted accounting principles to exploitation, film, and other software development costs associated with EE products.

The SEC staff has learned that certain registrants are recording all costs incurred in the development of EE products pursuant to the provisions of Topics 340, 720, and 985.

Other registrants are separating exploitation and film costs from other software development costs and accounting for the other software development costs using Topic 985 and capitalizing film and exploitation costs as film cost inventory as described in Topic 926.

Still other registrants, principally film production companies, are capitalizing all costs relating to the development of EE products as film cost inventory.

The SEC staff views stated here are not intended to apply to costs incurred to produce computer-generated special effects and images used in products that are exhibited in theaters or licensed to television stations because those costs are addressed by Topic 926.

Topic 985 establishes standards of financial accounting and reporting for the costs of all computer software to be sold, leased, or otherwise marketed as a separate product or as part of a product or process, whether internally developed and produced or purchased.

The SEC staff believes that EE products that are sold, leased, or otherwise marketed are subject to the accounting requirements of Topic 985.

The SEC staff does not believe that other standards of financial accounting and reporting or that industry practice are acceptable alternatives to those requirements.

The SEC staff also believes that film costs incurred in the development of an EE product should be accounted for under the provisions of Topic 985, not the provisions of Topic 926.

In addition, exploitation costs should be expensed as incurred unless those costs include advertising costs that qualify for capitalization in accordance with the provisions of Topics 340 and 720.

985 Software

730 Research and Development

05 Overview and Background

ⓘ **General Note:**The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

985-730-05-1 This Subtopic only provides links to guidance on research and development costs of computer software.

25 Recognition

ⓘ **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Costs to Establish Technological Feasibility

985-730-25-1 Paragraph 985-20-25-1 specifies the treatment for costs incurred to establish the technological feasibility of a computer software product to be sold, leased, or otherwise marketed.

> Costs of Purchased Computer Software

985-730-25-2 See paragraphs 985-20-25-8 through 25-10 for guidance regarding the cost of purchased computer software to be sold, leased, or otherwise marketed.

985 Software

845 Nonmonetary Transactions

00 Status

ⓘ **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

985-845-00-1 The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
Customer	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-845-05-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-845-15-1	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-845-15-2	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-845-25-1 through 25-7	Superseded	Accounting Standards Update No. 2014-09	05/28/2014
985-845-55-1 through 55-8	Superseded	Accounting Standards Update No. 2014-09	05/28/2014

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

985-845-05-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

985-845-15-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-15-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Editor's Note: All glossary terms have been removed from this Subtopic. See this Subtopic's Status Section (Section 00) and/or this Section's archive for more information.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

985-845-25-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-25-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-25-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-25-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-25-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-25-6 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-25-7 Paragraph superseded by Accounting Standards Update No. 2014-09.

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

985-845-55-1 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-55-2 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-55-3 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-55-4 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-55-5 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-55-6 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-55-7 Paragraph superseded by Accounting Standards Update No. 2014-09.

985-845-55-8 Paragraph superseded by Accounting Standards Update No. 2014-09.